Cloud Computing Labs – Viva Answers

Concise answers for Labs 1–4: Cloud Adoption, CCoE, TCO/ROI, and FinOps

1. What is Cloud First?

Cloud First is a strategy where cloud is considered the default option for new or migrating workloads, unless there is a valid reason to choose another location.

2. Why is Cloud Smart different from blindly moving everything to cloud?

Cloud Smart assesses each workload based on cost, security, compliance, latency, technical dependencies, and business needs before choosing public cloud, private cloud, hybrid cloud, or on-premises hosting.

3. What factors can justify retaining a workload on-premises?

Very low latency requirements, unsupported hardware, regulatory restrictions, licensing limits, legacy dependencies, data sovereignty, security needs, or unfavorable cloud economics can justify keeping a workload on-premises.

4. Why should migration be performed in waves?

Waves reduce risk. Low-risk applications can move first, medium-complexity applications next, and critical or complex workloads after testing and preparation.

5. What is the purpose of a CCoE?

A Cloud Center of Excellence (CCoE) is a cross-functional team that provides cloud strategy, standards, reusable patterns, governance, security, cost management, and support for application teams.

6. What is the difference between R and A in RACI?

R means Responsible—the person or team doing the work. A means Accountable—the person ultimately answerable for the outcome. Each activity should generally have one clearly defined A.

7. Why should FinOps be represented in a CCoE?

FinOps helps teams understand cloud spending, allocate costs, set budgets, find waste, forecast usage, and balance cost with performance and business value.

8. How does a CCoE avoid becoming only an approval committee?

It provides self-service platforms, automated guardrails, templates, reusable architectures, training, and clear guidance so teams can move quickly while staying compliant.

9. What is TCO?

Total Cost of Ownership (TCO) is the total cost of running or owning a solution over a defined period, including recurring operating costs and relevant one-time costs.

10. Why include migration cost?

Migration can require assessment, data transfer, refactoring, testing, training, temporary parallel running, and downtime planning. Including these costs makes the comparison more realistic.

11. Why must the ROI formula be stated?

ROI can be defined in different ways. Stating the formula makes the assumptions transparent and allows others to understand and reproduce the result.

12. What happens to ROI if migration cost increases?

If the benefit stays the same, a higher migration cost generally reduces ROI because the investment is larger and may also reduce net benefit.

13. What is FinOps?

FinOps is a collaborative operating practice that brings engineering, finance, and business teams together to maximize the value gained from cloud spending through informed, shared decisions.

14. What is rightsizing?

Rightsizing means matching a resource's size or capacity to its actual workload needs, such as choosing an appropriately sized virtual machine or database to avoid paying for unused capacity.

15. Why are tags important?

Tags label resources with information such as owner, application, environment, project, and cost center. They support cost allocation, reporting, accountability, automation, and governance.

16. What is the difference between cost reduction and cost optimization?

Cost reduction focuses on spending less. Cost optimization focuses on getting the best business value from spending, balancing cost with performance, reliability, security, and user needs.